Question No 01

(i) State objectives of cost accounting? (02 Marks)

(ii) Briefly explain the cost classification according to the behavior. (03 Marks)

(iii) Define following cost concepts:

- Direct cost
- Marginal cost (02 Marks)

(iv) Give suggestions to reduce the labour turnover (03 Marks)

(v) Following information is relevant to a manufacturing company.

Production Units	Total Cost (Rs.)
550	441,250
300	372,500

You are required to calculate total cost of producing 424 units. (03 Marks)

(vi) The following information is available in respect of component "QX"

Maximum stock level 210,000 units

Budgeted consumption - Maximum 27,500 units

- Minimum 15,000 units

Estimated delivery period- 3 to 6 weeks

You are required to calculate:

(a) Re-order quantity (03 Marks)

max -

$$\frac{27500 + 15000}{2}$$

$= 21250$

(vii) From the following particulars, calculate the earnings of workers under straight piece basis and Taylor's Differential Piece Rate Plan.

Standard Time per piece 12 minutes

Normal rate per hour Rs. 450

In a 9 hour day; Mr. Thennakoon produced 35 units and Mr.Piyal produced 46 units

Differential to be applied 80% of piece rate below standard and 120% of piece rate at or above standard. (04 Marks)

(Total Marks 20)

Question No 02

(a) Briefly explain Overhead Allocation, Overhead Apportionment and Overhead Absorption. (03 Marks)

(b) SS Ltd has three production departments A, B, and C and two service departments, X and Y. The following information has been extracted for a particular period;

Power	Rs.175,000	Indirect wages	Rs.900,000
Lighting	Rs.160,000	Supervision	Rs.240,000
Rent and Rates	Rs.600,000	Depreciation	Rs.800,000

Additional information

	Production Departments			Service Departments	
	A	B	C	X	Y
Direct Material	200,000	250,000	300,000	100,000	50,000
Indirect Material	50,000	62,500	75,000	62,200	21,000
Direct wages (Rs.)	100,000	100,000	200,000	75,000	125,000
Cost of Machinery	750,000	500,000	800,000	250,000	200,000
House Power of machinery	30	30	60	10	10
Light points	80	20	80	10	10
Floor Area (sq. ft.)	500	500	1200	400	400
No of Employees	60	55	20	15	10
Working hours	500	200	1000		

Additional information

Overheads cost consist of fixed overhead and variable overhead.

The selling price is Rs. 100/- per unit and expected sales and production are 8,000 units.

You are required to Calculate

(i) The Break-even Point in units and in sales value term. (04 Marks)

(ii) Number of units to be sold to generate a profit of Rs. 100,000 (02 Marks)

(iii) Margin of safety as a percentage (02 Marks)

(c) AXL Company Ltd produces three products and is planning its production mix for the next period. Following information is given.

Products	A (Rs.)	B (Rs.)	C (Rs.)
Selling Price	240	300	550
Labour (Rs.200 per hour)	100	50	280
Material (Rs.40 per Kg)	80	100	160
Other Direct Expenses	20	30	40
Maximum demand in units	7,500	5,000	7,000

Based on above information,

(i) Assuming raw material as key factor, and availability is 51,500kgs, find out the product mix which will yield the maximum profit. (06 Marks)

(ii) Assume that company fixed cost is Rs.850,000, Compute the net profit of the company by using the answer (a) (03 Marks)

(Total Marks 20)

Question No 05

(a) Explain the advantages of budgeting for a manufacturing company? (04 Marks)

(b) ABC Company produces and sells 2 products "PC" and "FT". Following information is provided for next budgeted period.

Product	PC	FT
Budgeted Sales	80,000 units	65,000 units
Opening Stock of Finish Goods	21,000 units	23,000 units
Target closing stocks of Finish Goods	18 days sales	24 days sales
Budgeted material consumption per unit	1.5kg	3kg

Additional Information

- At the beginning Raw material stocks will be 88,500 kg.
- Raw material closing stock is 20 days consumption and Budgeted material cost is Rs 12 per Kg.
- Required Labor hours per unit for the product PC and FT are 3hours @ Rs.50 and 2hours @ Rs.40 respectively. Selling price per unit is, Product PC Rs.20 and Product FT Rs.30.
- There are 12 weeks and a week consists of 5 working days in the budget period.

You are required to prepare following budgets for the given period.

(i) Sales Budget

(ii) Production Budget

(iii) Material Purchase Budget

(iv) Labour Cost Budget (16 Marks)

(Total Marks 20)

Question No 06

(a) What are the possible causes for material usage variances? (02 Marks)

(b) Max Plus Ltd manufactures one product, and the entire product is sold as soon as it is produced. The company operates a standard costing system and analysis of variance is made every month. The standard cost card for the product "WXB" is as follows.

		(Rs.)
Direct Material – Material AA	30kg @ Rs.100 per kg	3000
- Material BB	40kg @ Rs.50 per kg	2000
Direct wages	4 hours @ Rs.300 per hour	1200
Variable Overheads	4 hours @ Rs.400 per hour	1600
Fixed Overheads	2 hours @ Rs.150 per hour	300
Standard Cost		**8100**
Standard Profit		1900
Standard Selling Price		**10,000**

Budgeted Output for the month of January 2019 was 500 units.

Actual results for January 2019 were as follows.

- Material AA purchased was 12,900kg at a cost of Rs. 1,419,000 and Material BB purchased was 14,000kg at a cost of Rs. 630,000
- Labour hours paid for amounted to 1,800 hours at a cost of Rs. 596,000.
- Actual operating hours amounted to 1,750 hours.
- Variable overheads amounted to Rs. 642,500.
- Fixed overheads amounted to Rs.172,500.
- Production of 400 units were sold for Rs. 3,900,000

You are required to calculate:

(i) Direct Material Price Variance & Usage Variance.

(ii) Direct Labour Rate Variance, Efficiency Variance & Idle Time Variance.

(iii) Variable overhead expenditure and efficiency Variance

(iv) Fixed overhead expenditure and volume Variance (18 Marks)

(Total 20 Marks)

Question No 04

(a) Differentiate specific order costing and continuous operation costing with an example for each. (04 Marks)

(b) A manufacturing company produces a Product which is called "TD-01". The following information relates to two consecutive processes.

Particulars	Process 1	Process 2
Raw material introduced	100,000kg at Rs.6	50,000kg at Rs.10
Labour cost	500 Hours at Rs. 300 per hour	1000 hours at Rs. 200 per hour
Overheads	Rs. 130,000	Rs. 162,100
Actual Output	90,000kg	125,000 units
Expected loss	5% of raw material inputs	10% of all inputs
Scrap sales value of loss	Rs.5 per kg	Rs.8 per kg

Following additional information is related to process 2

Opening Work In Progress were 600 units at Rs. 80800 which included Process 1 Cost Rs.48940, Material cost Rs. 17420, Labour cost Rs. 13520 and overhead cost Rs.920.

Work In Progress 2000 units were at the end of the period, at 100% completed in Process 1, 80% completed in materials added, 50% completed in labour cost and completed in overhead cost 40%.

You are required to prepare the followings for process 2 using weighted average cost method:

a) Process 2 Account along with necessary supporting statements. (12 Marks)

b) Abnormal Loss/ Gain Account (02 Marks)

c) Scrap sales account (02 Marks)

(Total Marks 20)

Overhead cost of service departments of X and Y are apportioned as follows

Department	A	B	C	X	Y
X	20%	30%	30%		20%
Y	30%	20%	40%	10%	

You are required to,

(i) Prepare a statement to show apportionment of overhead cost to production and service departments. (06 Marks)

(ii) Re-distribute overhead cost of service departments to production departments using simultaneous equation method. (05 Marks)

(iii) Calculate the overhead absorption rates of manufacturing departments using working hours. (03 Marks)

(iv) Assume that company produced 1,000 units during the period. The company policy is to have 10% margin on cost. Calculate the selling price per unit. (03 Marks)

(Total Marks 20)

Question No 03

(a) What are the Limitations of cost-volume profit analysis? (03 Marks)

(b) The following details relate to product "PC 001".

Level of Activity (units)	5,000	10,000
Direct Material per unit	30	30
Direct Labour per unit	25	25
Production Overheads per unit	35	20
Selling Overheads per unit	20	10
Total cost per unit	110 x	85 x10000

5000

= 550000

850,000

5000 unit

Var. cost 550,000